

Tax Compliance Checklist 2026

A practical Kenya tax compliance companion for businesses and employers

Tax Home Kenya Limited Simplifying Your Tax Journey

How to use this checklist

Tick each item when completed. Assign an owner, save the supporting evidence, and review the list at the end of each month. This is a practical management aid and should be used together with current KRA guidance and professional advice.

Key filing deadlines

PAYE

9th of the following month

File the return and remit deductions.

VAT

20th of the following month

File the return and pay VAT due.

Withholding tax

Within 5 working days after deduction

Remit the tax and issue certificates where applicable.

Instalment tax

20th of the 4th, 6th, 9th and 12th months

Pay instalments where applicable.

Individual income tax

Within 4 months after year-end

File the annual return and settle any balance.

Non-individual income tax

Within 6 months after year-end

File after the accounting period ends.

Important: Deadlines can depend on taxpayer type, accounting period, tax obligation, extensions or later official guidance. Confirm the current date before filing or paying.

1. Tax registration and profile

- ☐ Confirm that the business KRA PIN and tax obligations are active and accurate.
- ☐ Confirm that the registered name, address, email, phone number and bank details are current on iTax.
- ☐ Review whether the business should be registered for VAT, PAYE, withholding tax, excise duty, turnover tax or another obligation.
- ☐ Keep copies of registration certificates, business permits, PIN certificates and tax-obligation certificates.
- ☐ Review changes in directors, partners, beneficial ownership, business activity or accounting period.
- ☐ Confirm authorised users can access iTax and that credentials are securely maintained.

2. Monthly compliance routine

- ☐ Reconcile sales, purchases, bank, cash and mobile-money records.
- ☐ Review eTIMS invoices, credit notes, cancelled invoices and missing documents.
- ☐ Prepare payroll and statutory deduction schedules before payment.
- ☐ File PAYE and remit deductions by the 9th of the following month.
- ☐ File VAT and pay the net amount due by the 20th of the following month, where applicable.
- ☐ File withholding tax and remit the amount due within 5 working days after deduction, where applicable.
- ☐ Review NSSF, SHA and Affordable Housing Levy schedules and retain remittance evidence.
- ☐ Save every return acknowledgement, payment slip and reconciliation in the monthly tax file.

Monthly close owner:

Month:

3. VAT compliance

- ☐ Confirm VAT registration status and identify taxable supplies.
- ☐ Issue valid tax invoices through the applicable eTIMS channel.
- ☐ Reconcile the sales ledger, eTIMS records, bank receipts and VAT return figures.
- ☐ Verify input-tax invoices and supporting documents before claiming input VAT.
- ☐ Separate standard-rated, zero-rated, exempt and out-of-scope transactions.
- ☐ Review credit notes, debit notes, imports, reverse-charge items and adjustments.
- ☐ File the VAT return and pay VAT by the 20th of the following month, where applicable.
- ☐ Retain VAT schedules, invoices, customs documents, payment evidence and reconciliations.

4. Payroll and employment taxes

- ☐ Maintain employee contracts, onboarding records, PINs and payroll master data.
- ☐ Calculate PAYE using current bands, reliefs and applicable taxable benefits.
- ☐ Apply NSSF, SHA and Affordable Housing Levy using the current statutory basis and rates.
- ☐ Review pension, insurance, mortgage-interest and other allowable deductions with evidence.
- ☐ Reconcile gross payroll to the ledger, bank payment file and payroll journals.
- ☐ File PAYE and remit deductions by the 9th of the following month.
- ☐ Retain payslips, payroll register, PAYE return, payment slip and deduction schedules.
- ☐ Review housing, vehicles, meals, loans, bonuses and gratuities for correct tax treatment.

5. eTIMS and invoicing

- ☐ Confirm the business is using an applicable eTIMS solution.
- ☐ Issue invoices for taxable business supplies and keep sequential invoice records.
- ☐ Reconcile eTIMS sales with accounting records, VAT returns and bank receipts.
- ☐ Investigate rejected, cancelled, duplicated or missing invoices.
- ☐ Verify supplier invoices before claiming deductions or input VAT.
- ☐ Train staff who create, approve or cancel invoices.
- ☐ Keep an audit trail for corrections, credit notes and system exceptions.

6. Withholding tax

- ☐ Review payments to resident and non-resident suppliers for possible withholding tax.
- ☐ Identify professional, management, contractual, royalty, interest, commission, rent and other relevant payments.
- ☐ Confirm the applicable rate and whether a treaty, exemption or special rule applies.
- ☐ Deduct tax at the correct time and provide the recipient with the relevant certificate.
- ☐ File the withholding-tax return and remit tax by the 20th of the following month, where applicable.
- ☐ Reconcile certificates, supplier ledgers, payment records and the return.

7. Income tax and instalment tax

- ☐ Maintain a current trial balance and supporting schedules for income and expenses.
- ☐ Separate business, private, capital and disallowable expenses.
- ☐ Review tax depreciation or investment-allowance schedules and the asset register.
- ☐ Review carried-forward losses, related-party transactions, tax credits and instalment tax paid.
- ☐ Pay instalment tax on the 20th of the 4th, 6th, 9th and 12th months where applicable.
- ☐ File individual income-tax returns within 4 months after the end of the year of income where applicable.
- ☐ File non-individual income-tax returns within 6 months after the end of the accounting period where applicable.

8. Record keeping and audit readiness

- ☐ Keep invoices, receipts, contracts, payroll records, bank statements and tax returns in an organised file.
- ☐ Keep accounting and tax records for at least the legally required retention period.
- ☐ Reconcile bank, cash, mobile-money, sales, purchases, VAT, payroll and tax-control accounts.
- ☐ Keep evidence for deductions, tax credits, exemptions, refunds and related-party charges.
- ☐ Maintain a monthly close checklist and assign an owner to outstanding items.
- ☐ Protect confidential employee, customer and supplier information.
- ☐ Maintain a clear audit trail for corrections and management approvals.

9. Year-end review

- ☐ Confirm all monthly and annual returns have been filed and acknowledged.
- ☐ Review outstanding tax balances, penalties, interest, objections, assessments and payment plans.
- ☐ Reconcile tax ledgers to iTax statements and accounting records.
- ☐ Review changes in business activity, assets, employees, branches, suppliers and tax obligations.
- ☐ Update the next year's tax calendar using the actual accounting-period dates.
- ☐ Obtain professional advice for complex, cross-border, property, extractive or tax-planning transactions.

10. Evidence file checklist

- ☐ KRA PIN and tax-obligation certificates
- ☐ iTax return acknowledgements and payment slips
- ☐ VAT, PAYE and withholding-tax returns
- ☐ eTIMS invoice and credit-note records
- ☐ Payroll and statutory-contribution schedules
- ☐ Bank, M-Pesa and reconciliation files
- ☐ Financial statements and tax computations
- ☐ Contracts and major-transaction support

11. Monthly action record

Use this page to record follow-up actions from the checklist.

[illegible]

Need help staying compliant?

Tax Home Kenya Limited — Simplifying Your Tax Journey

Call/WhatsApp: +254 725 416 982

Email: taxhomekenyalimited24@outlook.com

Website: taxhomekenya.github.io

Deadline note: Withholding tax is remitted within 5 working days after deduction; individual income-tax returns are due within 4 months after year-end; non-individual returns are due within 6 months after the accounting period. Confirm the current position with KRA or a qualified tax adviser.

This checklist is for practical planning. Rates, thresholds, deadlines and filing rules may change. Confirm the current position with KRA or a qualified tax adviser before filing or paying.